

National Cultural Differences and Global Business

Pankaj Ghemawat
Sebastian Reiche

The eminent Dutch psychologist and culture expert Geert Hofstede interviewed unsuccessfully for an engineering job with a U.S. company early in his career. Later, he wrote of the cross-cultural misunderstandings that crop up when U.S. managers interview Dutch recruits and vice versa:

American applicants, to Dutch eyes, oversell themselves. Their CVs are worded in superlatives...during the interview they try to behave assertively, promising things they are very unlikely to realize...Dutch applicants in American eyes undersell themselves. They write modest and usually short CVs, counting on the interviewer to find out by asking how good they really are...To an uninitiated American interviewer an uninitiated Dutch applicant comes across as a sucker. To an uninitiated Dutch interviewer an uninitiated American applicant comes across as a braggart.¹

Cultural differences can be important, even in life-and-death situations. Consider Korean Air's high incidence of plane crashes between 1970 and 2000. Analysis of conversations recorded in the black boxes of downed planes showed that even when a crash was likely, Korean Air co-pilots and flight engineers rarely suggested actions that would contradict the judgments of their captains. Challenging one's superior in Korea was considered culturally inappropriate behavior.²

The Korean Air example is particularly noteworthy for two reasons. First, if national culture can have significant—not to say existential—consequences among people of the same cultural origin, we need to be very cautious in dealing with national cultural *differences* in cross-border interactions. Second, the cultural predispositions of Korean Air co-pilots and flight engineers persisted in a very highly regulated environment, suggesting that national culture's influence on behavior reaches beyond administrative attributes, such as governmental policies, laws, and institutions. This note focuses on different ways of thinking about culture and how cultural differences affect the operations of firms around the globe.

For the purpose of this note, *culture shall be defined as a set of shared values, assumptions, beliefs, morals, customs, and other habits that are learned through membership in a group and that influence the attitudes and behaviors of group members*. Note three implications of this definition. First, culture is defined as a group-level phenomenon. From this perspective, cultures

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exist at many different levels, including organizational functions or business units, organizations, industries, regions, and nations.³ This note focuses in particular on national culture and the role of cultural differences across countries rather than other cultural groups because this level of culture is particularly relevant for global businesses. Second, the definition implies that culture is acquired through a process of socialization rather than being innate. Shared values, assumptions, and beliefs are learned through interactions with family, teachers, officials, experiences, and society at large. In this respect, Hofstede speaks of culture as a process of “collective programming of the mind.”⁴ Third, it is this collective programming that determines what is considered acceptable or attractive behavior. In other words, cultural values provide preferences or priorities for one behavior over another.

Also implicit in this group-level definition of culture is that such attempts to characterize behavior are necessarily approximate, since they abstract away from individual-level factors that also matter. As a result, it is important not to treat cultural characterizations as fully explaining or determining behavior. Rather, the operational criterion for assessing the usefulness of cultural characterizations is whether they offer more insight into behavior than would be obtained if one were to ignore them.

With those caveats, evidence from sources such as the World Values Survey, a study of 65 countries reflecting 75% of the world’s population, *does* suggest that national cultural traits have, at a deep level, remained fairly stable over time despite superficial evidence of some convergence in cultural habits, artifacts, and symbols (e.g., the spread of American consumer culture across the globe).⁵ And cultural differences remain prominent in a host of different contexts. Consider the following high-stakes example. You are riding in a car with a close friend who hits a pedestrian. “You know that he was going at least 35 miles per hour in an area of the city where the maximum allowed speed is 20 miles per hour but there are no other witnesses. His lawyer says that if you testify under oath that he was only driving 20 miles per hour it may save him from serious consequences.” More than 90% of managers in Canada, the United States, Switzerland, Australia, Sweden, Norway, and Western Germany reported that they would *not* testify falsely under oath to help their close friend, while fewer than half of managers in South Korea (26%), Venezuela (34%), Russia (42%), Indonesia (47%), and China (48%) said they would refuse to testify falsely in this hypothetical situation.⁶ This exemplified the point that some cultures put more emphasis on *universal* commitments (such as honesty) while others put more weight on loyalty to *particular* people and relationships.

Societies’ responses to the COVID-19 pandemic similarly displayed material cultural differences. For example, in Taiwan, a sense of collective prudence shaped by the country’s recent history and deep-seated community-oriented values allowed the government to implement far-reaching measures, such as strict border control with community-backed quarantine and a comprehensive tracking system integrating the travel and health data of all citizens. This allowed the country to keep infections low. Contrast this with Spain, where a culture of strong familial ties and high physical proximity in social interactions enabled the virus to spread rapidly in the first months of the pandemic. The government responded with a near-total lockdown to cut social contact, yet its subsequent loosening resulted in a rapid return to pre-COVID cultural habits and a renewed rise in infections.⁷ Clearly, crisis situations such as the pandemic give rise to deep-seated—and often unconscious—cultural preferences that determine decision-making and action.

The persistence of cultural value differences is particularly relevant for large global companies that are exposed to *multiple* national cultures in their daily operations. This adds to complexity because it forces companies to adapt their practices and approaches to every culturally distinct



context in which they operate. So, although the concepts discussed in this note apply more broadly, the primary focus here is on global firms.

Sections 1 and 2 of this note focus, respectively, on frameworks of national cultural value differences and observable indicators of national culture and some of their documented implications for international business. Section 3 provides a broader discussion of how global companies can manage to adapt to cultural (and other) differences.

1. Frameworks of National Cultural Value Differences

Cultural differences at the level of behavior form the basis for many of the casual comparisons that take place in diverse settings, such as business schools, for both serious and humorous purposes. Citizens in the United States maintain a culture around owning guns that most Europeans can't fathom. The Czechs drink far more beer than people in Saudi Arabia, and even more than the Irish, who come in second. India and China are so close geographically that they still have not resolved their territorial disputes, but they could not display more distinct food cultures, particularly around which animals and parts of animals should or shouldn't be eaten. Argentines see psychotherapists more often than other nationalities. Brazilians spend a higher proportion of their income on beauty products than the citizens of any other major economy. Japanese exchange business cards very intensively, and in a highly ritualized way. And so on.

Unless one is focused on a particular country or, at most, a handful, it quickly becomes overwhelming to try to look at the world in terms of countries where business cards are received in particular ways or the local cuisine has particular ingredients. As a result, most frameworks for understanding culture have sought to identify a limited number of cultural value dimensions that underlie behavior and provide a basis for classifying countries. Thus, the Japanese consider it rude not to study a business card carefully because it reflects a person's professional identity, title, and social status. Thus, the ritual of exchanging business cards (a behavior) can only be fully understood by taking into account the underlying importance of respect for seniority and status in that culture (basic values). More broadly, dealing with national cultural differences therefore requires not only knowledge about adequate behaviors but also understanding deeper values and assumptions that explain why certain behaviors are more appropriate than others.

Hofstede's Cultural Dimensions

The most widely used framework for categorizing national cultures is the one developed by Geert Hofstede, a Dutch social psychologist.⁸ Based on surveys of more than 100,000 IBM employees in more than 50 countries between 1967 and 1973, Hofstede argued that national cultures differed systematically across four dimensions: *power distance*, *individualism/collectivism*, *uncertainty avoidance*, and *masculinity/femininity*.

Power distance is probably the most important cultural dimension identified by Hofstede: it concerns the degree to which a culture accepts and reinforces the fact that power is distributed unevenly in society. Members of high *power distance* cultures, such as Malaysia, accept status differences and are expected to show proper respect to their superiors. Status differences may reflect organizational hierarchy, but they may also be based on age, social class, or family role. Low *power distance* cultures, such as Denmark, are less comfortable with differences in organizational rank or social class and are characterized by more participation in decision-making and a frequent disregard of hierarchical level. The concept of *power distance* helps to explain the importance of deference that Korean Air's co-pilots showed towards their captains.



A second dimension Hofstede identified is *individualism/collectivism*. Individualist cultures tend to emphasize the individual over the group. Members of *individualist* cultures, such as the UK, maintain loose social structures marked by independence, the importance of individuals' rights, and the recognition of personal initiative and achievement. In contrast, *collectivist* cultures, such as Venezuela, place more emphasis on the overall good of and loyalty to the group. Members of *collectivist* societies distinguish more clearly between in-groups and out-groups and are expected to subordinate their individual interests to those of their in-groups (e.g., family, organization). Hofstede's research also suggested a strong correlation with *power distance*: *individualist* cultures tend to exhibit lower *power distance*, although there are exceptions (e.g., France).

Uncertainty avoidance concerns the degree to which cultural members are willing to accept and deal with ambiguous situations. Cultures with high levels of *uncertainty avoidance*, such as Greece, prefer structure and predictability, which results in explicit rules for behavior and strict laws. Members of such cultures tend to be relatively averse to changing employers, embracing new approaches, or engaging in entrepreneurship. In societies with low *uncertainty avoidance*, such as Singapore, there is more acceptance of unstructured situations and ambiguity, favoring risk-taking, innovation, and the acceptance of different views.

The fourth dimension Hofstede identified is *masculinity/femininity*. *Masculine* cultures, such as Japan, are thought to reflect a dominance of "tough" values, such as achievement, assertiveness, competition, and material success, which are stereotypically associated with male roles. In contrast, *feminine* cultures focus on "tender" values, such as personal relationships, care for others, and quality of life. In addition, *feminine* cultures, such as Sweden, are also characterized by less distinct gender roles. Firms in feminine cultures place a stronger emphasis on overall employee well-being than on bottom-line performance.

Hofstede's research has been replicated by himself and other scholars and extended to over 80 countries.⁹ **Exhibit 1** lists the scores along each dimension for 30 of them. Using these scores, Hofstede developed national cultural profiles to compare cultures and highlight cultural differences (see **Exhibit 2**). Applying such a comparative lens to the Ukraine–Russia conflict reveals that the two neighbors are culturally—and indeed also linguistically—very similar along the four dimensions: power distance (R: 93 vs. U: 92), individualism (R: 39 vs. U: 25), uncertainty avoidance (R: 95 vs. U: 95), and masculinity (R: 36 vs. U: 27). This has led scholars to characterize the conflict as a "clash of brothers, not cultures."¹⁰ Such profiling is supposed to highlight similarities and differences to be expected in interactions with cultures other than one's own. It is important to note that a culture's position along a certain cultural dimension (e.g., the higher level of power distance in Korea) is not an evaluation of whether members of that culture approach situations better or worse than in other cultures. Instead, the cultural dimensions simply demonstrate different preferences or priorities for how issues should be approached. Note also that such cultural preferences do not always capture people's broad political views. In fact, despite their cultural value similarities, Russians and Ukrainians show marked differences in their aspirations towards and satisfaction with democratic political institutions, as data from the European Values Study reveal.¹¹



Some Applications

The most obvious application of Hofstede's framework is based on the idea that improving the alignment between management practices and cultural contexts yields tangible business benefits. Consider some examples:¹²

- Participative management can improve profitability in low *power distance* cultures but worsen it in high *power distance* cultures.
- Quick fixes can improve profitability in more *short-term oriented* cultures but worsen it in more *long-term oriented* cultures.
- Merit-based pay and promotion policies can improve profitability in more *masculine* cultures and reduce it in more *feminine* cultures.
- During performance appraisal, feedback quality and relational quality between supervisor and subordinate tend to be higher when the cultural preference of the performer (*individualistic* vs. *collectivistic*) is matched with the performance perspective (focus on the individual performer vs. the collective performing unit).
- Emphasizing individual contributions can improve profitability in more *individualistic* cultures and worsen it in more *collectivistic* cultures.

To provide a more systematic treatment, this subsection begins by considering the implications of Hofstede's cultural dimensions, particularly power distance, for a range of business functions or activities. It goes on to discuss some of the ways they have also been used to understand cross-border interactions.

Begin with marketing. One example of how marketing communications are affected by Hofstede's cultural dimensions is provided by the finding that the use of humor in advertising is more prevalent in countries with lower *power distance* as well as low *uncertainty avoidance*.¹³ And according to another study, 63% of humorous television advertisements in Thailand and Korea (countries with high *power distance*) contain characters of unequal status, versus only 29% in the U.S. and Germany (countries with low *power distance*).¹⁴ High *power distance* is also related to a tendency for consumers to make purchase decisions based on emotion rather than information. In addition, in countries with high *power distance* and *collectivism*, public relations focuses more on building and maintaining relationships, whereas in low *power distance* and *individualistic* cultures, it entails more explicit dissemination of information. Further, consider online marketing, where the larger gap between marketers and consumers in high *power distance* cultures entails less consumer–marketer interactivity. There also tend to be higher service expectations in high *power distance* cultures, and even the organization of products in retail stores has been shown to vary with this dimension of culture.¹⁵

The link between marketing and innovation/new product development seems to work better when managed in a centralized way in cultures with high *power distance*.¹⁶ And looking at innovation more broadly, studies indicate that countries with low *power distance* tend to have stronger innovation capabilities, which might affect a company's decisions about where to locate its innovative activities. Low *uncertainty avoidance* and high *individualism* also correlate with innovation capability.¹⁷ In cultures with high *power distance*, consumers are likelier to want products that help them demonstrate their status.

National culture has also been shown to have an impact on manufacturing and supply chain practices, which can be useful to consider in a variety of contexts: analyzing manufacturing



footprints, managing multi-plant operations, assessing competitors, suppliers, and different countries, and so on. Consider the adoption of quality management practices. One European study indicates that in cultures with low *power distance* and low *uncertainty avoidance*, the implementation of formal quality management systems may require external market pressure.¹⁸

Entire books have been written on cross-cultural negotiations. A typical prescription is that in higher *power distance* cultures, the seniority of the negotiator (and the size of the negotiating team) sends important signals. Companies from low *power distance* cultures can run into trouble by sending a junior negotiator (who might be better versed in the content) or by trying to save money by limiting the size of the negotiating team. There are also indications that negotiators from high *power distance* cultures may be less attuned to joint gains, as they may be more accustomed to power differences simply determining outcomes.

There are also important organizational or human resource implications of national culture. In countries with high (versus low) *power distance*, employee selection tends to give more emphasis to social class (over education), training tends to emphasize conformity (versus autonomy), evaluations focus on compliance or trustworthiness (over performance), wage differences between managers and workers are larger, leadership is more authoritarian (instead of participative), motivation is based on the assumption that subordinates dislike work and hence is more coercive (instead of reward-based), and organizations are more hierarchical (versus flat).¹⁹ Achieving significant change in high *power distance* cultures requires putting senior staff front and center in communication efforts, using legitimate authority, and “tell[ing] subordinates what to do.” In lower *power distance* cultures, it is more important to explain the reasons for change, “allow for questions and challenges,” and involve employees in figuring out how to implement the desired change.²⁰

The implications of *power distance* for human resources also extend beyond individual firms to affect the design of institutions and governance structures. For example, high *power distance* is related to more stringent employment protection legislation.²¹ The protections afforded to labor in such cultures are also associated with less external equity financing and a greater degree of family ownership. Hofstede further asserted a link between *power distance* and accounting: “In large *power distance* countries, the accounting system will be used more frequently to justify the decisions of the top power holder(s); in fact it usually is their tool to present the desired image, and figures will be twisted to this end.”²² Subsequent research has cast doubt on the impact of *power distance* on accounting disclosure, but it does indicate that high levels of *uncertainty avoidance* fit with low disclosure and conservatism in accounting.²³

In addition to these country-level characterizations of the effects of cultural dimensions, Hofstede’s framework has also been used to study cross-border phenomena, such as the choice of entry mode and international diversification. A survey article reports that “firms from countries with large *power distance* prefer subsidiary and equity JV entry modes whereas firms from countries high in *uncertainty avoidance* prefer contract agreements and export entry modes.”²⁴ The same summary article also cites various studies analyzing the effects of overall cultural distance—typically calculated as the sum of the squared differences between countries along Hofstede’s value dimensions²⁵—on entry modes: “As the cultural distance between countries increased, the tendency to choose a joint venture (JV) over an acquisition increased. Also, as cultural distance increased, Japanese firms were likelier to choose green-fields or wholly owned subsidiaries over shared ownership; the tendency to choose licensing over JVs or wholly owned subsidiaries increased; the tendency to choose a greenfield over an acquisition increased; wholly owned subsidiaries were less preferred than either shared-equity ventures or technology licensing; [and] the tendency to choose management-service contracts over franchising increased...”²⁶ It has also been shown that cultural distance is a significant deterrent to foreign portfolio investment.²⁷



Limitations and Alternative Frameworks

Although Hofstede's framework remains the most widely used approach to classifying and comparing national cultures, it has several limitations. The data are relatively old and, despite attempts at replication, may not fully capture recent changes in the political environment (e.g., the end of the Cold War and the decline of communism) or the workplace (a stronger focus on cooperation, knowledge-sharing and empowerment). Second, the reliance on data from employees of a single organization, IBM, offers a narrow—and arguably biased—basis for generalizing about national cultural characteristics.²⁸ Third, the dimension of *uncertainty avoidance* did not emerge as a distinct cultural dimension in a later study that Hofstede conducted using a Chinese equivalent of his original survey developed by Chinese social scientists.²⁹ Based on data from 23 countries, including 20 from Hofstede's original study, the scholars identified a different fourth dimension representing Chinese values, originally termed Confucian Work Dynamism and later re-labeled *long-term/short-term orientation*. Fourth, the content of the *masculinity/femininity* dimension has also been challenged. It is also less clear what, exactly, this dimension involves. For example, the high masculinity score for Japan appears to contradict the high levels of concern and care that Japanese organizations usually show towards their employees, which would seem to be more indicative of a *feminine* culture as defined by Hofstede.

Criticisms have also been leveled against the frequent use of Hofstede's framework to compute aggregate cultural distances between countries. For one thing, such an approach suggests that distances are symmetric. In other words, a Swedish firm investing in China is supposed to face exactly the same cultural distance as a Chinese firm investing in Sweden, which seems unlikely.³⁰ In addition, the assumption of homogeneity within each nation underlying Hofstede's data raises even more questions when the data are used to compute distance scores between countries in ways that ignore both intranational variation and noncultural dimensions of distance (e.g., physical). For example, we would expect the cultural differences encountered by a Spanish firm investing in France to depend on whether the home and host units are located in Barcelona and Perpignan (very close by) or in Seville and Le Havre (much farther away). This point is particularly relevant for large and diverse countries, such as the BRICs (Brazil, Russia, India, and China), but it also applies to smaller countries. Thus, the computed cultural distance between the Czech Republic and Slovakia, which shared the same national flag for a long time, is higher than for most other cultural pairs! This highlights not only the role of intra-cultural variation but also the limits of using countries to define cultural regions.

Finally, the subjectivity of Hofstede's framework also makes for some arbitrariness in terms of the value dimensions highlighted: other researchers have used survey responses to categorize national cultures differently. **Box 1** provides very brief overviews of some other frameworks of this sort. One worth mentioning here is a framework developed recently by Michele Gelfand and coauthors that provides insight into variations within and across 33 countries by classifying them in terms of their "tightness."³¹ *Tight cultures* such as India or Korea have many strong behavioral norms across everyday situations (e.g., in classrooms, libraries, public parks) and low tolerance for deviations from them, whereas *loose cultures* such as Ukraine or the Netherlands have weaker social norms and higher tolerance of deviant behavior. Individuals in tight cultures are supposed to focus on avoiding mistakes and behaving properly and to have higher self-regulatory strength (higher impulse control) and a greater need for structure. The tightness–looseness distinction is related to, yet somewhat distinct from, the value dimensions that have already been discussed. For example, tightness is positively but only partially correlated with collectivism and power distance. It also has some other interesting correlates. Thus, tight



cultures tend to have less open media and a higher incidence of religious observance by their members. Members of tight cultures also seem likelier to perceive their own culture as superior to members of loose cultures. Recent research also found that tight cultures experienced fewer cases and deaths per million during the early stages of the COVID-19 pandemic compared with loose cultures. The results demonstrate that tight groups cooperate much faster under threat and have higher survival rates than loose groups, which suggests that tightening social norms might confer an evolutionary advantage in times of collective threat.³²

Box 1

Some Alternative Cultural Frameworks

In addition to the cultural dimensions identified by Hofstede, there is a range of other cultural frameworks that aim to classify national cultures according to various value dimensions. While some dimensions match or overlap with those proposed by Hofstede, the following well-known frameworks also include other dimensions:

- Fons Trompenaars, another Dutch researcher, collected more recent data in over 40 countries. Out of the seven dimensions identified in his study, five focus on relationships between people (for example, the relative importance of applying universal and standardized rules, as reflected in the earlier example of whether or not to testify against a friend, or the extent to which people are free to express their emotions in public), whereas the remaining two dimensions concern time management and a culture's relationship with nature.³³
- Shalom Schwartz, an Israeli psychologist, provided yet another approach to describing and classifying national cultures. Schwartz argues that cultural values reflect three basic issues that societies are confronted with: the nature of the relation between the individual and the group, how to guarantee responsible behavior, and how to regulate the relation of people to the natural and social world. Using data from schoolteachers and university students in over 60 countries, Schwartz derived three dimensions that represent solutions to the above issues.³⁴
- Robert House, along with an international team of researchers, engaged in an ambitious effort to characterize cultures that was mainly focused on cultural differences in leadership. Termed the GLOBE study (Global Leadership and Organizational Behavior Effectiveness), this research derived nine cultural dimensions that addressed both previously identified value dimensions (e.g., power distance and individualism/collectivism) and new ones (e.g., gender egalitarianism and performance orientation). For each dimension, the research team differentiated between societal practices (as things are) and societal values (as things should be). While this distinction perhaps better reflects the richness of a society's cultural fabric, it also makes cross-cultural comparisons more complex.³⁵



2. Observable Cultural Indicators

The proliferation of cultural frameworks for analyzing culture has led some researchers, particularly economists, to focus on more observable indicators of cultural differences, particularly religion and language. The impact of religion on certain aspects of behavior is particularly easy to discern. The difference in Czech and Saudi Arabian levels of beer consumption, for instance, can be related to the fact that the largest religion in the Czech Republic is Christianity (in which wine is consumed as part of ritual practice), while the official religion of Saudi Arabia is Islam, which prohibits the consumption of alcohol. Similarly, we can understand dietary differences between Indians and Chinese in large part based on religious distinctions.

Most research using religion as a marker of differences in national culture has focused on whether countries share a common religion. According to the *World Christian Encyclopedia*, “there are 19 major world religions, which are subdivided into 270 large religious groups, and many smaller ones,” with Christianity (33% of the world population in 2000), Islam (21%), and Hindu (14%) being the largest high-level groupings.³⁶ Based on a sample of 163 countries, 51% of country pairs have at least thirty percent or more of both populations practicing the same major religion. However, that analysis does not account for differences between denominations within religions: the world’s 2.1 billion Christians, for instance, are subdivided into some 34,000 separate groupings!³⁷ More nuanced characterizations treat commonalities at the level of denomination or sect as closest (e.g., Methodist), then consider matches at broader levels of aggregation within a single religion (e.g., Protestant), then at the level of a religion (e.g. Christianity), and then most broadly combine groups of religions with a similar origin and some common beliefs (e.g. “monotheistic religions of a common Middle Eastern origin,” the category that encompasses Judaism, Christianity, and Islam).³⁸

Language is another observable aspect of culture that, according to some researchers, offers a window into deeper beliefs and thought processes.³⁹ Work on the implications of linguistic differences for thought patterns across cultures dates back at least to early work by Edward Sapir (1921)⁴⁰ and Benjamin Whorf (1940).⁴¹ One scholar provided the following description of language’s deeper impact: “Language carries with it patterns of seeing, knowing, talking, and acting...patterns that mark the easier trails for thought and perception and action.”⁴² Later, scholars such as Noam Chomsky moved away from this view to focus on universal patterns across languages, but more recent research has again shown an “appreciation of how interpretive differences can be rooted as much in systematic uses of language as in its structure.”⁴³

One way to summarize the extent of linguistic differences is to note that among the sample of 163 countries referenced above, in only ten percent of the country pairs do twenty percent or more of the populations of both countries speak a common language.⁴⁴ The genealogical classification of languages permits more nuanced characterizations of linguistic distance based on whether two languages have common ancestors. **Exhibit 3** presents a table of linguistic distance from the United States according to such analysis. More sophisticated statistical tests have also validated linguistic distance as a marker of cultural distance.

What is particularly interesting about the use of linguistic distance as an observable indicator of cultural differences is that it has been shown to correlate with cultural distinctions, such as those described in the previous section. Two examples will be presented here, based on distinctions between English and Spanish that will be familiar to many readers. First, consider Hofstede’s dimension of *individualism/collectivism*. English-speaking cultures are considered more *individualistic* (they score 84 on this dimension), whereas Spanish-speaking cultures are deemed more *collectivistic* (22). Linguistically, the requirement in Spanish, but not English, to specify a person’s gender when describing his or her occupation reflects the collectivist pattern of rooting description in social context.



The English, by casting aside the need to communicate such contextual information, “tends to elevate individuals vis-à-vis their groups.”⁴⁵ Hofstede’s dimension of *power distance* is also related to linguistic differences between Spanish and English. Spanish-speaking countries score much higher on this dimension (69) than English-speaking countries (32). Moreover, in Spanish, we note the distinct formal (usted) and informal (tu) forms of the English “you.” This hierarchical emphasis is also seen in speech patterns, such as the tendency in Mexico to introduce an engineer as “ingeniero” or a lawyer as “licenciado,” whereas both would just be called “mister” in English.⁴⁶

In addition to serving as observable markers of cultural differences at deeper levels than behavior, religion and language are also useful bases for grouping countries. It can be helpful to think in terms of countries where English is the main language or where most of the population are Catholic, although—as always—one has to be careful to avoid oversimplification. More sophisticated efforts at classifying countries into cultural clusters have often relied on geography, language, and religion as primary factors, while others have also used cultural frameworks such as Hofstede’s as well as levels of economic development.⁴⁷ The clusters resulting from a synthesis across ten such studies are shown in **Exhibit 4**.

Some Applications

The comparative, country-by-country implications for business have been studied in less detail for observable cultural indicators than for the cultural value dimensions discussed in the previous section. The cross-country implications of observable cultural indicators have attracted more attention, and yield some striking conclusions about how cultural distance, measured thus, tends to reduce cross-border interactions. In contrast, research of this sort that relies on Hofstede’s original four dimensions (and their aggregation into a single measure of cultural distance) has produced results that do not fit as well with theory and intuition. Thus, some research suggests that Hofstedian cultural distance actually increases bilateral trade!⁴⁸ This seems to suggest that distance is not always a barrier per se. For example, distance has been shown to lead decision-makers to prepare and plan more extensively for foreign activities or to actively anticipate differences and potential misunderstandings.⁴⁹

To provide a more systematic treatment, this subsection will focus on reviewing the effects of observable cultural indicators, particularly language, on four types of cross-border flows: flows of products and services, capital, people, and information.⁵⁰

Start with trade, which has been studied more intensively than other types of cross-border flows. A common language has been shown to increase the bilateral merchandise trade between a pair of countries significantly—by 42 percent, according to one study.⁵¹ There is less research on services trade, but one study indicates that a common language increases services trade by even more, which seems intuitively plausible.⁵² Digging deeper into the effects of linguistic differences, while communication via a translator can indeed facilitate trade, one analysis indicates that direct communication appears about three times more effective than indirect communication in promoting trade. The same study also suggests that linguistic diversity within a country as well as higher levels of literacy promote foreign trade relative to domestic activity.⁵³

Analogously, countries that share a common religion have been shown to trade more than countries that do not, with one study indicating that a common religion increases trade by 22 percent.⁵⁴ Not all religions are created equal in this respect: some religious communities turn out to be more conducive to the development of international trade networks than others.⁵⁵

A common language has also been shown to have a significant, positive effect on certain types of capital flows. Thus, according to one study that looks across a range of capital flows, “when both countries speak the same language FDI stocks in host countries are 54 percent higher and



portfolio equity investment 38 percent larger, whereas portfolio debt investment and loans are not statistically significantly different.⁵⁶

Turning to long-run flows of people, 60 percent of migrants move to a country with the same major religion, and 40 percent go to a country with the same major language.⁵⁷ Research on diasporas and international business networks has also shown migration to have an important effect on all the other types of cross-border flows considered in this section, reminding us of the complementarities across them.

Information flows tend to be more elusive, but one way of quantifying the impact of language barriers on information flows is to look at the intensity of international telephone calls on a population-weighted basis. The intensity of minutes of phone calls between countries where at least 20% of the population shares a common language is ten times greater than between countries that lack that commonality.⁵⁸ The impact of language barriers is also evident in studies that use patent citations as proxies for knowledge flows. According to a study conducted in Europe, “having the same language increases the amount of knowledge flows between two regions by up to 28 percent.”⁵⁹ Of course, one can easily think of other, more subtle ways cultural differences impede information flows, ranging from misinterpretation to unwillingness to share information across cultural boundaries.

That last point calls attention to an important underlying factor: trust. One broad indicator of the effects of cultural differences on trust is provided by patterns of trust within versus between countries. The best available data, from Eurobarometer surveys, indicate that Western Europeans trust their fellow citizens more than twice as much as citizens of other Western European countries and nearly four times as much as citizens of countries outside of Western Europe.⁶⁰ Disaggregated analysis of these data suggests that trust falls as the populations of any two countries grow more different in terms of their languages, religions, genes, body types, geographic distance, and incomes, and if they have a history of being at war with each other.⁶¹ Lack of trust, of course, complicates cross-border interactions of all types.

3. Managing Adaptation to Cultural Differences

We have seen that operating in ways that fit diverse cultural contexts can improve business performance. In thinking about how far to push efforts to adapt to local cultural conditions, it is important to account for industry characteristics that increase or decrease sensitivity to cultural differences. Businesses that sell directly to consumers (rather than to other businesses) are more sensitive to cultural differences, as is the service sector compared to businesses that sell physical products. For example, while they sell to other businesses, most kinds of IT services are highly sensitive to language differences. In contrast, industrial machinery (sold to other companies for use in their factories) tends to be relatively insensitive to cultural distance. This is one factor that helps explain the global success of Germany’s relatively small *mittelstand* firms in many such sectors, even though they have fewer resources for cultural adaptation than larger firms.

That said, companies with broad footprints generally do need to adapt their operating practices to cultural (and other) differences across countries. As companies push farther with such variation, complementary moves, such as decentralizing decision-making, indigenizing in-country management teams, and inpatriating foreign subsidiary staff to the company’s home country to tap their cultural and local market knowledge, can help.⁶² However, the extreme solution of varying practices everywhere to maximize local fit usually is not a good idea either because it creates enormous complexity and involves sacrificing all international economies of scale, implying performance no better (and perhaps even worse) than standalone local firms. So, managing adaptation entails finding ways to limit the need for or cost of variation.⁶³



Focus is one way to reduce the need for variation. The simplest way to do this is by focusing operations on countries with similar cultures. Focusing on serving—or hiring—the diaspora from a company's home country can ease entry into new markets by reducing the cultural distance that has to be crossed to reach local customers and manage people. Other options for focus involve concentration on products, segments, or vertical stages that require relatively little variation from country to country.

Externalization, e.g., via joint ventures or franchising, is another way that companies can reduce the cost of local adaptation. Partnering with a local firm can provide access to local cultural understanding, business networks, and so on, which would be costly and time-consuming for a foreign company to develop on its own. As long as the partners can set up an effective interface to address cultural (and other) differences in managing the partnership, a better local fit can be achieved. Of course, companies can also acquire foreign firms to gain access to local knowledge and networks while maintaining control, but that requires acquiring firms to have sufficient cross-cultural capability to manage and, in most cases, integrate acquired firms.

Designing business systems to clearly separate elements that can be varied across countries from elements that are “integral” and therefore not to be tampered with on a piecemeal basis can also ease adaptation. A particularly interesting expedient is to promote a strong corporate culture while allowing variation in operational or tactical elements. However, it is important not to place too much confidence in corporate culture entirely overpowering national cultural differences. Recall that Hofstede's original research took place within a single company with a strong corporate culture—IBM—and still revealed large national cultural differences. In fact, some research suggests that bringing employees from different cultures together in the same company might strengthen rather than mitigate national cultural differences among them.⁶⁴

More broadly, an organization can also improve its internal capabilities for bridging cultural differences. Hiring for adaptability and investing in cross-cultural training can improve workforce capabilities and flexibility. Exposure to and deeper experience with foreign locations and cultures via participation in international teams, travel, expatriation, and inpatriation can inform and grow these kinds of capabilities. For many companies with high growth targets in foreign markets, increasing the diversity of their management teams should also be a priority—especially given how monocultural most such teams still tend to be. Of the 2013 *Fortune* Global 500 companies, only 13 percent had a nonnative CEO. The share of nonnative executives in the entire top management team of 2013 *Fortune* Global 500 companies fared only marginally better and stood at 15 percent.⁶⁵ Most firms from emerging markets have even less internationalized leadership teams. Another way for organizations to bridge cultural differences is to hire—and then continue to develop and promote—bicultural or multicultural individuals who, through their upbringing and experience, have internalized the norms and behavioral sets that are appropriate in different cultural, ethnic, and linguistic environments and can easily shift between them.⁶⁶

Finally, an organization's efforts to manage differences can only be as effective as the individuals within it that deal with these differences on a regular basis. Effectiveness in this regard requires learning about and awareness of cultural heterogeneity. Often, such learning is developed through personal experiences in foreign cultures that, in addition to developing knowledge about other cultures, foster more reflection about one's own culture and how it differs from others. Cultural learning can also occur through cultural assimilation exercises in which participants are confronted with various critical incidents of cross-cultural encounters, need to select among alternative behaviors to deal with the encounter, and then receive feedback from a cultural expert. Tools such as the Global Attitude Protocol survey or the Cultural Agility self-assessment can help you test your own cultural awareness.⁶⁷



Exhibit 1

Hofstede's Cultural Value Scores for 30 Countries

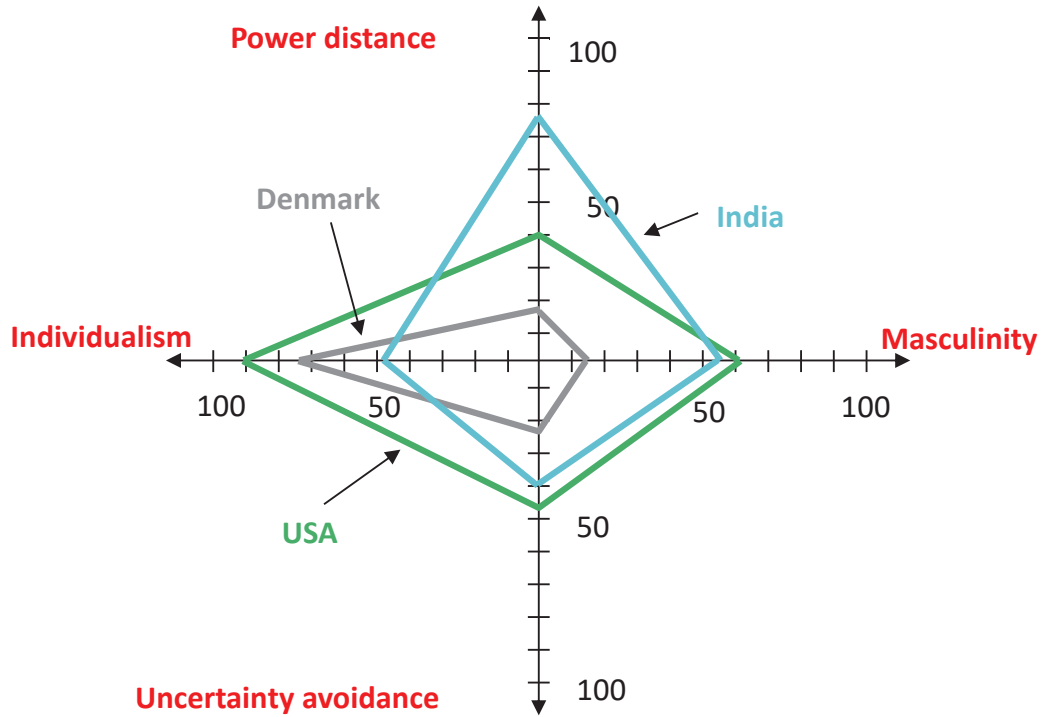
Country	Power Distance	Individualism/Collectivism	Uncertainty Avoidance	Masculinity/Femininity
Argentina	49	46	86	56
Australia	38	90	51	61
Brazil	69	38	76	49
Canada	39	80	48	52
Chile	63	23	86	28
China	80	20	30	66
Colombia	67	13	80	64
Denmark	18	74	23	16
France	68	71	86	43
Germany	35	67	65	66
Greece	60	35	112	57
Indonesia	78	14	48	46
India	77	48	40	56
Iran	58	41	59	43
Israel	13	54	81	47
Italy	50	76	75	70
Japan	54	46	92	95
Korea (South)	60	18	85	39
Malaysia	104	26	36	50
Mexico	81	30	82	69
Netherlands	38	80	53	14
Philippines	94	32	44	64
Poland	68	60	93	64
Portugal	63	27	104	31
Russia	93	39	95	36
Singapore	74	20	8	48
Spain	57	51	86	42
Sweden	31	71	29	5
United Kingdom	35	89	35	66
United States	40	91	46	62

Source: Adapted from Geert Hofstede, Gert Jan Hofstede, and Michael Minkov, *Cultures and Organizations: Software of the Mind*, 3rd ed. (New York: McGraw-Hill, 2010).



Exhibit 2

Cultural Profiles Based on Hofstede's Cultural Dimensions



Source: Prepared by the authors.



Exhibit 3

Linguistic Distance from the United States, 25 Largest Economies

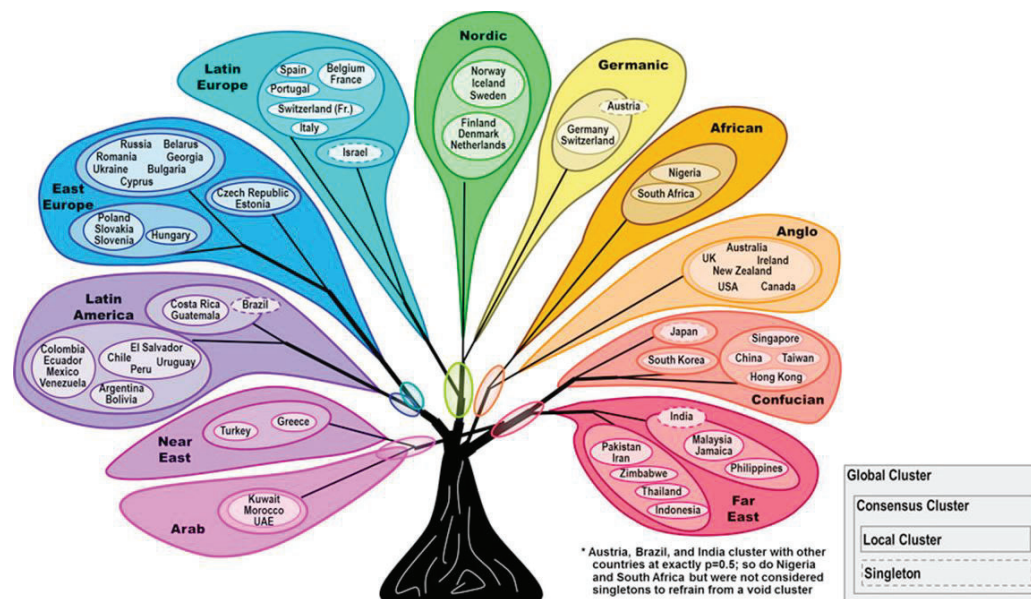
Linguistic Distance from the United States	Countries
1 (Same Language)	Australia, Canada, India, Nigeria, United Kingdom
2 (Same sub-branch at the 1st level but different at the 2nd level)	Belgium, Germany, Netherlands, Switzerland
3 (Same branch but different at the 1st sub-branch level)	Sweden
4 (Same family but different branches)	Argentina, Brazil, France, Italy, Mexico, Poland, Russia, Spain
5 (Different families)	China, Indonesia, Japan, Korea, Saudi Arabia, Taiwan, Turkey

Note: This table is based on the distance between the two closest major languages for each pair of countries.

Source: "L1" variable from Douglas Dow and Amal Karunaratna, "Developing a Multidimensional Instrument to Measure Psychic Distance Stimuli," *Journal of International Business Studies* 37, no. 5 (2006): 578–602.

Exhibit 4

Clusters of National Culture



Source: Figure 2, p. 881 in Simcha Ronen and Oded Shenkar, "Mapping World Cultures: Cluster Formation, Sources and Implications," *Journal of International Business Studies* 44, no. 9 (2013): pp. 867-897.



Endnotes

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